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Read less news

Hey, Pro Briefers!

We're diving back into one of our most popular shifts from the perspective of retail investors.

This week's Main Street Shift: retail investors across the globe are investing in emerging markets (EMs).

Rather than just providing a few EM funds, we're going to look at multiple investment options.

Before we dive in, we want to drive a few things home:

High Risk: EMs have been outperforming the U.S. market, but they are by their nature, higher-risk investments.

Retail: There are more options for accredited investors, but we're going to focus on options available to retail investors.

Going Deep: We'll touch on a few of the major index funds for those looking for lower-risk EM exposure, but we'll also be showing off more active-investing options.

So, why take the risk?

Let's take a look at why emerging markets are an emerging opportunity.

ANALYST TAKEAWAYS

Tickers we're tracking:

Equity: EWZ, VWO.

Bonds: EMB, EBND.

REITS: VNQI, RWO.

Watch a breakdown of our analysts' research [here](#).

Risk And Reward

So, what actually is an emerging market?

Officially, it's the economy of a country that's transitioning from a developing nation, into a developed nation.

- But it's commonly used to describe economies from outside the U.S. and Western allies.

Investment groups like MSCI and BlackRock have been advocating for EMs for a long time.

Mainly because of their high yield potential and diversification from traditional investments.

In English: A yield is an investment's earning power. The price plus any payments from dividends or interest.

And right now, *those yields seem pretty high.*

EM Outperformance Amidst Trade & Geopolitical Uncertainty



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Data *via* TCW

- EM investments are far outperforming the S&P 500 YTD.

Many EM funds are showing impressive YTD or YoY numbers, but are still down from 2021 highs.

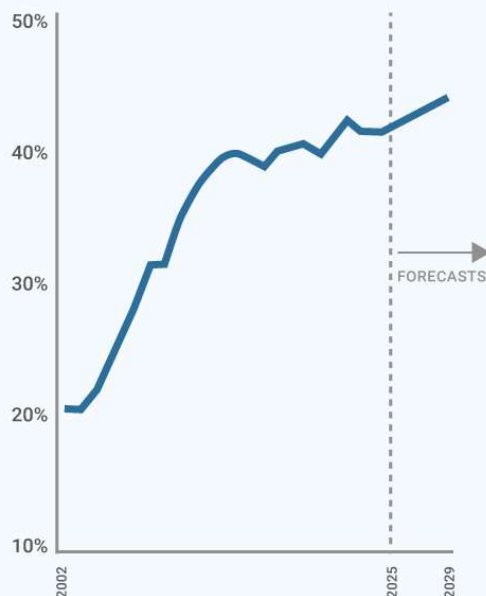
Which begs the question: Are these funds headed back up towards a new all-time high, or are they setting up for another dip?

Both institutional and retail investors seem to think EMs are looking up.

Growth in emerging markets themselves is what is driving this shift.

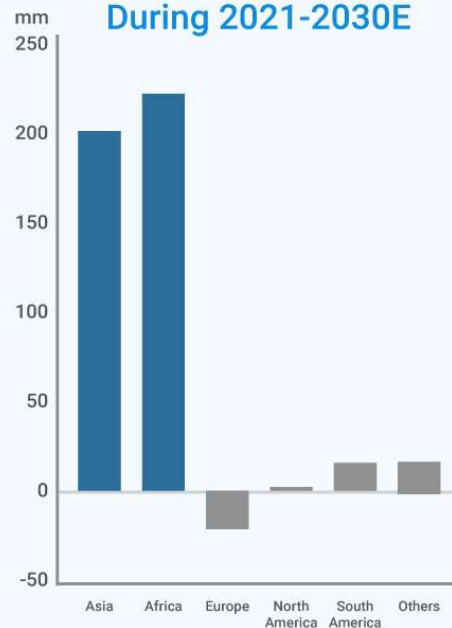
Rising Share in Global Economic Output and Favorable Demographics

EM share of Global Economic Output



Driven by productivity improvement, EMs likely to account for ever increasing share of global economic output

Projected Change in Population Aged 15-64 During 2021-2030E



500 million new people will join the work force in EMs over this decade: 2X current U.S. workforce

- EM countries have a much larger share of the world's economy than they used to.
- EMs in Asia and Africa represent the majority of working-aged adults.

It can be easy to forget that EMs include some of the fastest-growing economies in the world, like India and Brazil.

EMs may still be subject to volatility, but continue to show growth that outpaces domestic markets.

Riding The Wave

So what opportunities actually exist for retail investors that want to get into EM markets?

The most straightforward option lies in funds that track EM stocks. These are often the *most* stable in this particularly volatile market.

But there's a limited number of these companies that trade in the U.S.

The solution: There are ETFs available that cover both the emerging market industry, and specific countries.

Emerging market stocks have outpaced those of developed markets

Indices rebased in dollar terms



These ETFs often hold shares in the major institutions - companies that tend to benefit from strong GDP growth.

- Holdings usually include major banks and tech companies in countries like Taiwan and India.

Investors looking to invest in specific countries can often find an ETF that is a pure-play into that country's economy.

BlackRock offers many country-specific ETFs, such as the iShares MSCI Brazil ETF (EWZ).



- This Brazil-tracking ETF has shown more than double the return of the S&P 500 YTD.

While this is just one example of a country-tracking ETF, it shows the general strategy being used by these types of funds.

Holdings of EWZ

Ticker	Name	Sector	Asset Class	Market Value	Weight (%)
NU	NU HOLDINGS LTD CLASS A	Financials	Equity	\$506,028,765.00	9.76
VALE3	CIA VALE DO RIO DOCE SH	Materials	Equity	\$472,185,815.22	9.11
ITUB4	ITAU UNIBANCO HOLDING PREF SA	Financials	Equity	\$469,517,973.71	9.06
PETR4	PETROLED BRASILEIRO PREF SA	Energy	Equity	\$326,578,151.84	6.30
PETR3	PETROLED BRASILEIRO SA PETROBRAS	Energy	Equity	\$289,731,115.14	5.59
BBDC4	BANCO BRADESCO PREF SA	Financials	Equity	\$199,671,521.91	3.85
B3SA3	B3 BRASIL BOLSA BALCAO SA	Financials	Equity	\$174,257,937.25	3.36
WEGE3	WEG SA	Industrials	Equity	\$163,582,333.85	3.16
ABEV3	AMBEV SA	Consumer Staples	Equity	\$150,965,385.50	2.91
EMBR3	EMBRAER SA	Industrials	Equity	\$145,399,062.27	2.80

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Data [via](#) iShares

- The fund's top 10 holdings include major financial, material, and energy companies from the economy it's tracking.

These are the types of companies that tend to show strong growth alongside a country's GDP.

The recent popularity of EMs among investors has also raised the assets under management (AUM) of these funds, somewhat reducing the risk.

- Country-specific funds are a great way to bet on a specific market, but broader EM funds are the more popular route.



Data [via](#) Yahoo! Finance

For investors seeking a broader EM fund, the Vanguard Emerging Markets Stock Index Fund (VWO) is a popular option.

- VWO includes mid- and small-cap companies from over 20 different emerging markets.

Shares of this ETF are up nearly 15% YTD.

Like many EM index funds, VWO bounced back after a short dip on April 2nd - the tariff announcement.

DEBT

The Global Bond Market

While these funds are a common way to track emerging markets, many investors are looking to get cash flow from their investments.

This has contributed to the popularity of EM debt securities - that's right, we're talking bonds.

The why: Just like in the U.S., you can lend money to EM governments and companies in exchange for interest payments.

Valuation in EM remains attractive relative to other DM asset classes

Figure 1: EM vs. other asset classes: duration relative to yield

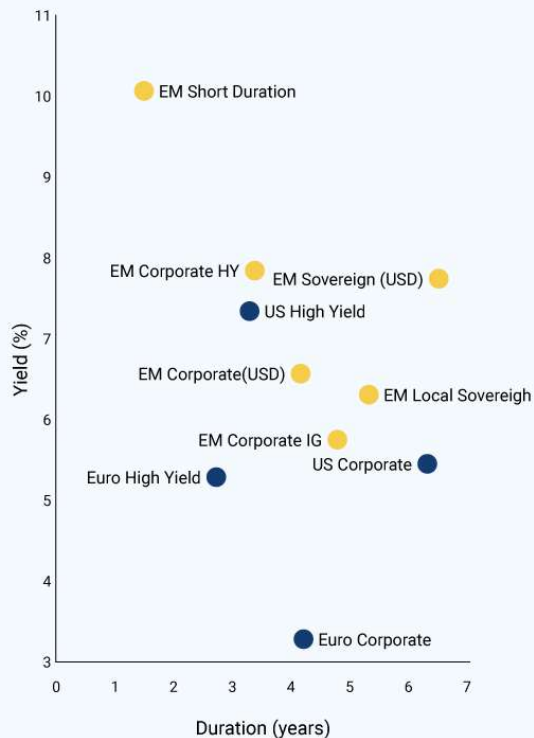


Figure 2: EM vs. other asset classes: credit rating relative to yield



- EM bonds have been showing strong returns for investors, but can be more difficult to invest in than normal stocks.

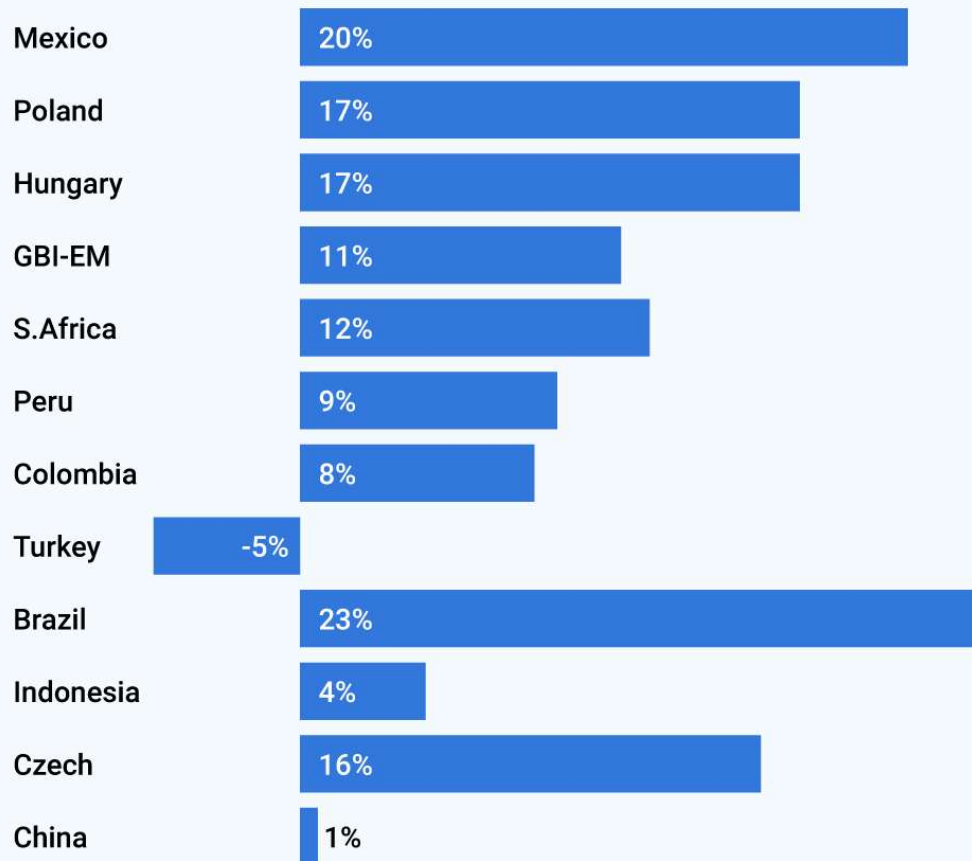
There are generally three types of EM bonds that have been growing in popularity:

Sovereign Bonds: Issued directly by governments, and often denominated in USD. Think of these like treasury bonds, but for foreign governments.

Corporate Bonds: Issued by businesses in EMs to raise capital.

Currency-Linked Bonds: Can be sovereign or corporate, but are issued in the market's local currency, and *not* USD.

EM local currency debt returns in dollars



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Data *via* Reuters

- Currency-Linked Bonds may have higher returns if the dollar weakens.
- This year, the dollar has been down compared to many world currencies.

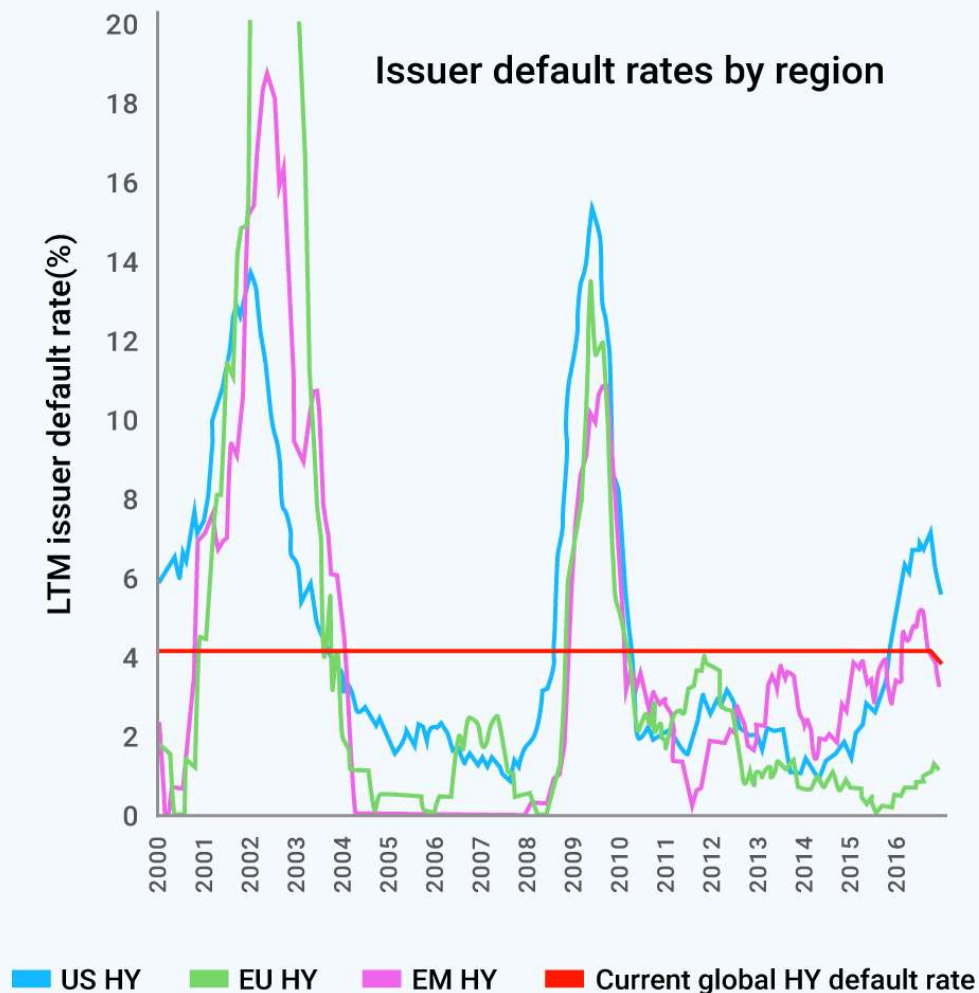
There's a catch...or two, like many bonds offering high yields, EM bonds carry a fair amount of risk.

Most of them carry a credit rating that is **below investment grade**.

What does that mean? The rating agencies like S&P and Moody's believe most EM bonds are more likely to default on the debt.

But the agencies may just not like EMs - the default rate on bonds from EMs tends to be very low.

EM vs DM default rates (issuer-weighted defaults)



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Data [via](#) Bond Vigilantes

EM Bonds can be hard to get, often requiring large amounts of money, or special certifications.

But the average investor still has options; there are ETFs for EM bonds too.

One example of this is the iShares J.P. Morgan USD Emerging Markets Bond ETF (EMB).

Like stock ETFs, these funds that invest in bonds are tied to major indexes.

iShares J.P. Morgan USD Emerging Markets Bond ETF (EMB)

YTD Price → **93.50**
(5.01%)



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Data [via](#) Yahoo! Finance

- EMB allocates 90% of its assets into EM government bonds that use the U.S. dollar.

Bond funds are often purchased for cash flow, so the day-to-day share value can be somewhat misleading.

So we look at total return, which factors in interest payments.

- EMB is up 5% YTD with a total return of 9%.

Those looking for **currency** bonds also have a few choices, like the SPDR Bloomberg Emerging Markets Local Bond ETF (EBND).

SPDR Bloomberg Emerging Markets Local Bond ETF (EBND)

1 Year Price



21.17
(3.27%)



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Data [via](#) Yahoo! Finance

- With a YTD return of 8.4% and a yield of 4.98%, this fund has a total return of 12.21%.

ETFs may be the easiest way for retail investors to get into EM bonds, but bond funds can be a bit complex.

Investors can pay a premium to invest in mutual funds with an EM focus.

Ashmore is an investment group that specializes in EM mutual funds, and manages funds to cover different types of EM approaches.

One of which is a currency fund, ELBCX.

ELBCX Performance



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Data [via](#) Google Finance

While a mutual fund reduces some of the work that normally falls on an investor, it comes at a price.

They often have much higher minimum investments, and higher management fees.

- ELBCX has a \$1000 minimum and charges an annual fee of 0.75%.

As a result, these funds often underperform the more openly traded ETFs in the same categories.

Global Housing Boom

One of the defining characteristics of an emerging market is the rapid development of the country's economy.

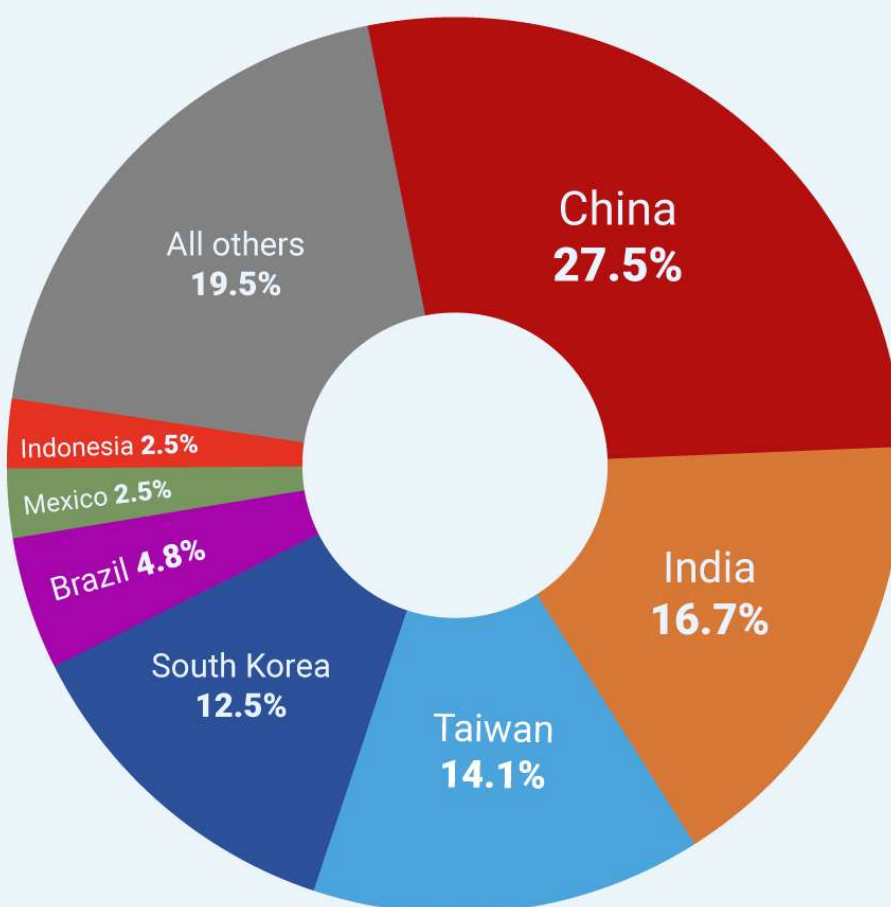
And a rapidly growing economy usually means increasing demand for both commercial and residential property.

Real estate tends to grow with the economy.

When small towns in the U.S. undergo rapid economic growth, it often causes property values to skyrocket - it's no different in developing nations.

Emerging-Markets Country Risk Exposure

Morningstar emerging-markets index country weightings



Real estate in China and India has been especially attractive to investors.

A common way to get into real estate abroad is REITs.

Definition: A REIT is a Real Estate Investment Trust, or a fund that purchases real estate with its assets, but is required to pay large percentage of income as a dividend.

There are no REITS with direct EM exposure on U.S. markets.

So, can we invest in them?

There **ARE** ETFs that exclusively buy global-exposure REITS.

Our analysts have combed through these, to find a few of the ETFs on U.S. exchanges with the most exposure to EM REITS.

According to Morningstar, the Vanguard Global ex-U.S. Real Estate ETF (VNQI) has an EM exposure of about 18%, most notably:

- China 5.5%.
- India 3.9%.
- UAE 3.9%.

Vanguard Global ex-U.S. Real Estate Index Fund ETF Shares (VNQI)

1 Year Price



46.86
(10.28%)



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Data [via](#) Yahoo! Finance

Shares of VNQI are up more than 10% YTD, it has a total return of 18.53%.

While the exact amount of EM exposure isn't reported, the SPDR Dow Jones Global Real Estate ETF (RWO) tracks an index with notable EM exposure.

The lower exposure to EM real estate can also be seen in RWO's return, with a total return of only 4.98%.

SPDR Dow Jones Global Real Estate ETF (RWO)



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Data [via](#) Yahoo! Finance

These small exposure ETFs may not be enough for some investors...

It's difficult to acquire real estate in a foreign country, *it's not impossible*.

Our team spoke to Ірина Щучко, a real estate agent in Ukraine. She spoke to the risk of buying property in her country:

"There are no legal mechanisms to protect investors from delays...residential property under construction in Ukraine cannot be insured."

But she described these risks as part of what leads to potential gains:

"Yet it is precisely such markets that offer opportunities rarely found in mature economies"

We also spoke to Ukrainian financial advisor Ohla Polytska, who mentioned working with the website Blago to acquire real estate in Western Ukraine.

Companies and portals like Blago exist, providing access to real estate all over the world, and many EMs support international investors.

The risk: EMs often lack reliable data and investor protections. You're also dealing with potential language barriers.

RISKS

Risky By Nature

Emerging Markets are by their very nature, high-risk, high-reward investments.

Even when investing in major Western European countries, investing abroad comes with challenges - different rules, limited exposure, and more difficult to obtain information.

With emerging markets, **all of that is amplified.**

An investor's money is going into a nation that, at the end of the day, doesn't have a fully established, and more importantly, stable economy.

EMs are also more exposed to global events. As they first gain exposure to the global markets, they're vulnerable to changes in trade and global conflict.

Even picking ETFs for emerging markets can be pretty complicated when compared to domestic stocks.

REVIEW

Is The Risk Overhyped?

But the data shows us that these emerging markets might be more resilient than our financial institutions give them credit for.

The new U.S. tariffs should have devastated EM securities, but the Brazilian ETF handled it with ease, and it's not alone.

- Nearly all EM ETFs are outperforming the S&P 500.

Investors and analysts alike will have to see if there are long-term complications from tariffs or other global events.

But as of right now, even factoring in dips and higher-than-average volatility, EMs are showing stronger returns than stable global markets.



- Briefs Pro Team

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